put through the bankruptcy process and were recreated under a very different balance sheet.

Sometimes, the very organizational capital of a firm is faulty and it needs to be dissolved. Such a firm goes into the bankruptcy process and is liquidated. This improves the profitability of competitors, and frees up labour and capital that can go into better performing firms. The critical call that the bankruptcy process has to make is whether there is organizational capital that justifies firm survival or not.

The Financial Sector Legislative Reforms Commission (2011–15) envisaged a specialized ‘Resolution Corporation’ which will run a speedy bankruptcy process for dealing with some kinds of financial firms (mainly banks and insurance companies), while all other financial firms would be handled by the main bankruptcy code. The Insolvency and Bankruptcy Code (IBC) (2016) represents this main bankruptcy code, the exit framework for most firms.

Zombie firms

The Japanese experience in recent decades has inspired the phrase ‘zombie firms’. These firms are the walking dead, the firms that ought to have died, but have been artificially kept alive through state or bank support. The lingering presence of these firms increases the cost of inputs for healthy firms, and reduces the profitability of healthy firms. When a policy framework encourages the lingering survival of failed firms, this harms healthy firms in that sector. Japan experienced remarkable problems through the combination of zombie banks who did *evergreening* for zombie firms. Their story of macroeconomic difficulties is an important warning in favour of sound banking regulation, blocking evergreening, and encouraging exit by banks and non-banks.

By this logic, the presence of one large zombie airline harms the viability of all private airlines. When Air India is privatized, and the flow of public